EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a *visita* of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P222,367,909.45, P67,376,752.15 and P154,991,157.30, with an increase of 16.53%, 7.59% and 20.90%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P106,497,807.24 and P82,339,075.24, which increase by 12.32% and 23.10% respectively from last year's figures.

Particulars	2017	2016	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	P 222,367,909.45	P 190,816,666.66	P 31,551,242.79	16.53%
Liabilities	67,376,752.15	62,623,458.91	4,753,293.24	7.59%
Govt. Equity	154,991,157.30	128,193,207.75	26,797,949.55	20.90%
Financial Performance				
Income	P 106,497,807.24	P 94,814,936.90	P 11,682,870.34	12.32%
Expense	77,424,643.54	66,887,025.87	10,537,617.67	15.75%
Appropriations, Allotments and Obligation				
Appropriations	P 125,711,461.14	P 113,015,507.36	P 12,695,953.78	11.23%
Allotments	125,711,461.14	113,015,507.36	12,695,953.78	11.23%
Obligations	92,586,220.99	76,838,142.70	15,748,078.29	20.50%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

Particulars	2017	2016	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	-	-	-
Due from GOCCs	-	-	-
Due from LGUs	-	-	-
Due from NGOs/POs	-	-	-
Others	-	-	-
TOTAL	-	-	-
Fund Received from Other Agencies:			
Due to Other NGAs	P 55,036,439.40	P 36,258,161.13	P 18,778,278.27
Due to LGUs	10,237,640.63	8,119,005.59	2,118,635.04
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 65,274,080.03**	**P 44,377,166.72**	**P 20,896,913.31**

3. Independent Auditor's Report on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the financial statements of the Municipality of Sanchez Mira, Cagayan as at December 31, 2017.

4. Summary of Audit Observations and Recommendations

1. Local Access Roads projects funded by FY 2017 LGSF-ADM Program were not fully compliant with the policy guidelines and procedures provided under DILG DBM Joint Memorandum Circular No. 2017-03 dated May 23, 2017.

   We recommended that Management closely monitor and supervise the implementation of the project in accordance with contract plans and specifications. Projects signboard must be installed at every project location in accordance with COA Circular No. 2013-004 dated January 30, 2013. Close coordination with the DILG (MLGOO) must be taken to ensure compliance with the policy and guidelines of DILG-DBM JMC No. 2017-03.

   Initiate appropriate actions in case of delay/negative slippage in the implementation of the project including the imposition of liquidated damages, if warranted.

2. The Municipal Disaster Risk Reduction and Management Plan (MDRRMP) amounting to P5,153,332.45 have not adapted the goals and objectives of different

thematic areas, performance indicators and measures contained in the National Disaster Risk Reduction and Management Plan 2011-2028 (NDRRMP).

We recommended that Management, through the LDRRM Office revisit the LDRRMP and align with 2011-2028 NDRRMP. The programs and activities planned should ensure that performance indicators and measures are specific, measurable, achievable relevant and time bound to facilitate assessment of the progress toward the achievement of the outcomes, objectives and goals.

Likewise, the Approved/Revised LDRRMP and LDRRMFIP be submitted to the Office of Civil Defense for review and evaluation, in accordance with 7.2 of JMC 2013-01 dated March 31, 2013.

3. The municipality paid wages amounting to P6,781,896.00 in hiring an average of eighty nine (89) contractual and job order personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.

   We recommended that Management formulate a Policy Guidelines in hiring contractual/job order employees, taking into consideration the necessity of as to the reasonable number of contractual/job order employees to be assigned in different offices in order to avoid excessive manpower, work duplication and expenses for wages.

   Ensure that the policy guidelines formulated does not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

4. Several programs and activities of GAD Plan and Budget (GPB) amounting to P450,000.00 were not implemented and monitored in contrary with the requirements under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, dated July 18, 2013 or Guidelines on the Localization of the Magna Carta of Women.

   We recommended that Management through the GFPS Executive Committee and TWG comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 in the implementation of GPB. Periodic review and corrections should be made on GPB to address local needs, concerns and welfare of women including other gender related issues.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no unsettled audit suspension and disallowance as at December 31, 2017.

Settlement of audit suspensions and disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	P 10,058,648.58	P 10,058,648.58	-	-
Current Year	-	2,059,711.38	2,059,711.38	-	100%
Total	**-**	**P 12,118,359.96**	**P 12,118,359.96**	**-**	100%
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations of prior year's report, six (6) were fully implemented, one (1) was partially implemented, and four (4) were not implemented as at year end.